ISSUE 18

The serviceability wall

Five paths worth investigating when the bank says no.

THE HOOK

PROPERTY NOTES · ISSUE 18

The Serviceability Wall

The last property before retirement rarely fails on the deposit. It fails on borrowing power. Here are the five paths around the wall.

Ask an investor in their early fifties what stands between them and one more quality property, and they will usually say the deposit. So they save harder, hold off on the kitchen renovation, delay the trip.

Then the broker runs the numbers and the answer has nothing to do with the deposit. The lending system reads you through a set of ratios and rules, and the reading gets stricter every year you move closer to retirement. The deposit was never the constraint. Serviceability is. And unlike a deposit, you cannot save your way out of it.

This edition is about what to do when you hit that wall. Not to accept it, and not to force your way through it with a lender who should not be saying yes. There are five paths worth investigating, and each earns its place by changing something the wall is built on: the asset, the equity, the borrower, the pocket the money sits in, or the portfolio itself. None of them is a sure answer. All five now sit inside a new tax landscape: the reform received assent on 26 June this year, its main provisions arrive from 1 July 2027, and established holdings acquired before 7:30pm on 12 May 2026 keep their existing negative gearing treatment. We will take the paths one at a time with those rules in view.

PROPERTY NOTES · ISSUE 18

The wall itself

Three forces build it, and they compound.

The debt-to-income threshold. Six times gross income is the regulator's marker for high debt-to-income lending. It is not a hard prohibition on any single loan, but banks may only write a limited share of new investor lending above it, so appetite narrows sharply once an application crosses the line. The ratio counts every loan you already hold against verified gross income. An investor on $185,000 with $128,000 in gross rent has an income of $313,000, which puts six times at about $1.88 million. With existing portfolio debt at $1.9 million, the application starts in territory most lenders now avoid. A new purchase adds some rent to the income side, but the loan it needs is far larger than the capacity that rent creates. And serviceability is then tested again separately, with rental income haircut by at least 20 percent and a buffer added on top of the actual rate.

Loan term against age. A 30-year loan written at 52 matures at 82. How a lender responds varies with policy: some shorten the term toward your expected retirement, others ask for a documented exit strategy, and post-retirement income can change the answer entirely. Where the term does get shortened, the effect is real: a 13-year principal-and-interest loan carries repayments roughly half as much again as the 30-year equivalent, which tightens the same serviceability calculation that was already strained.

How your income is read. PAYG salary is the strongest income a lender can see, and it is the one with the shortest remaining life. Rental income is discounted, typically by 20 to 25 percent. As the salary years run down, the strongest line in the assessment weakens and the discounted lines have to carry more.

The result is a window. While the salary is still flowing and a reasonable term is still available, the last conventional acquisition can clear. Wait five years and the same application, on the same portfolio, struggles. The wall is not a judgement on your wealth. It is a judgement on your remaining income runway, and the runway shortens on a schedule.

PROPERTY NOTES · ISSUE 18

Sam runs the map

Sam is 52, a salaried professional on $185,000, with four residential properties worth $3.2 million carrying $1.9 million in debt, all bought before May 2026 and grandfathered under the old gearing rules. The portfolio is roughly cashflow neutral, and with gross rents around $128,000 his total debt sits right at the six-times high-DTI marker, the territory where lender appetite runs out. His broker confirms what the numbers already said: the fifth conventional purchase does not realistically clear, and in his lender's policy any new loan would be modelled on a term to his expected retirement, around 13 years. Sam also has $620,000 in super, combined with his partner, in an SMSF they set up four years ago.

Sam works the five paths as an elimination, not a menu. Manufacturing equity is out on temperament: he has watched a colleague's renovation run six months and $90,000 over, and he knows he is not that operator. An entity structure for the *next* purchase cannot fix the constraint this time, because the deposit would still come from equity his personal lending already secures, so he parks structures for a conversation with his accountant about the one after.

That leaves the swap, the commercial asset, and the fund. Outside super, Sam lists his weakest holding, a unit that has not moved in five years while its rent drifted. It releases roughly $210,000 in net equity after costs, and his accountant models the disposal on both sides of the 2027 transition first. Combined with a modest redraw, that funds the deposit on an $850,000 commercial property with a national tenant on a five-year lease, returning about $55,000 net. At 65 percent LVR on interest-only terms at around 7.5 percent, the rent covers the interest bill of roughly $41,000 with about a third to spare, before vacancy allowance and fees. The lease-doc lender reads the lease first and Sam's payslip second.

Inside super, the fund uses the surviving borrowing path: a limited recourse loan on a $700,000 industrial unit, serviced by the tenant's rent plus the contributions that were flowing anyway. Two acquisitions, in two different serviceability assessments, and neither stood or fell on Sam's personal debt-to-income position.

PROPERTY NOTES

One analytical edition every Saturday. No noise.

Read the full edition free

Subscribe at pbco.com.au